OREGON ACCOUNTING MANUAL

Statewide Policy

NUMBER: 45.05.00

SUBJECT: Payroll: Regular Paydays

EFFECTIVE DATE: 08/07/2026

POLICY OWNER: Office of the State Controller | Oregon Statewide Payroll Services (OSPS)

DIVISION: Chief Financial Office

LAST REVIEWED DATE: 08/07/2026

SUPERSEDES: Policy # 45.05.00 (03/01/2007)

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REFERENCE/AUTHORITY:

- ORS 652.120

APPROVED BY:

Kate Nass, Chief Financial Officer | Approval on File

Statement

This is the state's policy on scheduled paydays.

Applicability

This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in OAM 01.05.00, *Introduction: Scope and Applicability*. If any provisions of OAM policies or procedures conflict with collective bargaining agreements, the provisions of collective bargaining agreements would supersede OAM guidance.

Definitions

Payday: Payday is normally the first day of the month, except for supplemental payrolls. When the first day of the month falls on a Saturday, Sunday or a holiday, payday is the preceding banking day. The exception is December payroll, which will always be paid on the first banking day in January.

Refer to [OAM 65.00.00, *Glossary*] for definitions.

Policy

Scheduled Paydays

101. Payrolls will be processed by the Workday Payroll System team to ensure compliance with ORS 652.120, that no more than 35 days elapse between **paydays**.

102. Payroll for salaried employees is processed based on a forecast of the hours the employee is expected to work in the monthly Run 1. The purpose of processing the monthly Run 2 is to refine the forecasted data from Run 1 by incorporating actual time and leave records. Hourly employees are paid from Run 1 and Run 2 based on the hours recorded and approved on their timesheet.

New Employees

103. Salaried employees who are employed prior to the processing cutoff date published in the Workday Payroll System Processing Calendar will receive wages calculated on a forecast basis on the next scheduled **payday** as described in paragraph 102.

104. Hourly employees are paid semi-monthly and receive pay for actual hours recorded and approved through an agency defined cutoff date, usually about the fifteenth and the last day of the month. **Payday** generally occurs on the first and fifteenth day of the month, adjusted as necessary as described in the payday definition.

105. Salaried and hourly employees, whose employment begins after payroll cutoff but before the first of the month, will receive payment for actual hours recorded and approved through month-end no later than the fifteenth of the month following.

Underpayment of Wages

106. Per ORS 652.120, when an employer received notice that an employee has not been paid the full amount the employee is owed on a regular **payday** and there is no dispute between the employer and the employee regarding the amount of the unpaid wages:

    a. If the unpaid amount is less than five percent of the employee's gross wages due on the regular **payday**, the employer shall pay the employee the unpaid amount no later than the next regular payday; or

    b. If the unpaid amount is five percent or more of the employee's gross wages due on the regular **payday**, the employer shall pay the employee the unpaid amount within three days after the employer has received notice of the unpaid amount, excluding Saturdays, Sundays and holidays.

Agency Time Systems

107. Agencies with approved time tracking integrations to the Workday Payroll System must configure their system and set processing schedules according to the deadlines established on the Workday Payroll System Processing Calendar to meet processing deadlines.